July 21, 2025

Sent Via Electronic Mail

Commission President Alice Reynolds
Commissioner Houck
Commissioner Reynolds
Commissioner Douglas
Commissioner Baker
California Public Utility Commission

Sent via electronic mail

RE: Request for New Demand Response Proceeding

Dear Commissioners:

The California Efficiency + Demand Management Council ("the Council"), the California Energy Storage Alliance (CESA),the Vehicle Grid Integration Council (VGIC), Leapfrog Power, Inc. ("Leap"), Renew Home, LLC ("Renew Home"), CPower, Sunrun, Inc. ("Sunrun"), Voltus, Inc, ("Voltus"), and Nostromo Energy, Inc. ("Nostromo"), (collectively "the Joint DR Parties") submit this letter to request a new demand response ("DR") proceeding at the California Public Utilities Commission ("Commission").

Background on the Joint DR Parties

The Council is a statewide trade association of non-utility businesses that provide energy efficiency, demand response, and data analytics services and products in California.[1] Our member companies employ many thousands of Californians throughout the state. They include energy efficiency ("EE"), demand response ("DR"), and distributed energy resources ("DER") service providers, implementation and evaluation experts, energy service companies, engineering and architecture firms, contractors, financing experts, workforce training entities, and energy efficient product manufacturers. The Council's mission is to support appropriate EE, DR, and DER policies, programs, and technologies to create sustainable jobs, long-term economic growth, stable and reasonably priced energy infrastructures, and environmental improvement.

CESA is a 501(c)(6) membership-based advocacy group committed to advancing the role of energy storage in the electric power sector. CESA strives to advance a more

---

[1] Additional information about the Council, including the organization's current membership, Board of Directors, antitrust guidelines and code of ethics for its members, can be found at http://www.cedmc.org. The views expressed by the Council are not necessarily those of its individual members.

affordable, efficient, reliable, safe, and sustainable electric power system for all Californians, including through the implementation of DERs and DR.

VGIC is a 501(c)(6) membership-based advocacy group committed to advancing the role of vehicle-grid integration (VGI) through policy development, education, outreach, and research. VGIC supports the transition to decarbonized transportation and electric sectors by ensuring the value from flexible EV charging and discharging is recognized and compensated to achieve a more reliable, affordable, and efficient electric grid.

Leap is a DR provider founded in 2017 and headquartered in Sacramento, California. The company provides DR services to residential, commercial, industrial, and agricultural customers throughout the state of California. Through its technology platform, Leap enables DER providers in California to provide grid flexibility, delivering revenue for their customers and integrating additional demand-side resources into the California electricity system. Leap believes that demand-side resources integrated into California's wholesale electricity market will play an increasingly important role in helping California achieve a resilient and zero carbon future. Leap is a registered DR Provider ("DRP"), as well as a registered Scheduling Coordinator, with the California Independent System Operator Corporation ("CAISO").

Renew Home, founded in April 2024, operates over 100 demand response programs across the United States, including the OhmConnect product, which has over 237 thousand CAISO market registered residential and small commercial users in California. The company comprises the Google Nest Energy Services team, which was spun off from Google, and OhmConnect, which is a wholly owned subsidiary of Renew Home. The Google Nest Energy Services team was responsible for controlling Google Nest thermostats and providing grid services, including the widely used Rush Hour Rewards service. OhmConnect is a market-integrated demand response platform that combines device automation and behavior-based demand response in California, New York, and Texas. Renew Home's mission is to save consumers energy and alleviate cost burdens through shifting household energy use to better match the time-value of energy.

Nostromo provides sustainable energy storage solutions for commercial and industrial buildings that enable measurable reduction of energy costs and carbon emissions and increases resilience for the building and grid. Nostromo's clean, safe and highly efficient IceBrick® solution transforms how buildings manage their main use of energy, which is cooling. This solution stores energy during off-peak or surplus solar energy hours, when electricity's cost and carbon emission are low, so it can be used for cooling during peak demand hours, when electricity's cost and carbon emissions are high

CPower is the leading distributed energy resources monetization and Virtual Power Plant provider in the country, working to enable a flexible, clean and dependable energy future. With over 7.0 GW of capacity at approximately 29,000 sites across the U.S., CPower works to unlock the full value of DERs to strengthen the grid when and where reliable, dispatchable resources are needed most.

Sunrun Inc. revolutionized the solar industry in 2007 by removing financial barriers and democratizing access to locally-generated, renewable energy. Today, Sunrun is the nation's leading provider of clean energy as a subscription service, offering residential solar and storage with no upfront costs. Sunrun's innovative products and solutions can connect homes to the cleanest energy on earth, providing them with energy security, predictability, and peace of mind. Sunrun also manages energy services that benefit communities, utilities, and the electric grid while enhancing customer value.

Voltus is an aggregator of retail customers operating in all nine North American wholesale markets. Voltus enables retail electric customers to provide critical grid services by connecting behind-the-meter assets to wholesale energy, capacity, and ancillary service markets. Voltus has been a CAISO market participant since 2020. Voltus is an approved provider for CPUC-jurisdictional demand response offerings including the Base Interruptible Program and Capacity Bidding Program; transacts Resource Adequacy; and participates in the Demand-Side Grid Support program. Voltus manages approximately 50 MW of flexible resources across the state.

Summary

The Joint DR Parties request that the Commission open a new rulemaking to address DR issues. On October 25, 2024, the Commission issued D.24-10-011 which is the Decision Denying the Public Advocates Office's Petition to Open a Rulemaking to Adopt, Amend, or Repeal a Regulation Pursuant to Public Utilities Code Section 1708.5 in P.24-03-013. D.24-10-011 confirmed "that future, and individual proceedings are expected to be opened to address EE, DR, and low-income EE issues that will be closely coordinated and effectively integrated."[2] However, since that time no new DR proceeding has been issued and there is currently not an active proceeding in which to address DR.

In addition, on June 27, the Commission issued D.25-06-048 in the resource adequacy ("RA") proceeding (R.23-10-011) which is the Decision Adopting Local Capacity Obligations for 2026-2028, Flexible Capacity Obligations for 2026, and Program Refinements. D.25-06-048 states that "DR questions may be addressed in the successor RA proceeding or a new DR rulemaking,"[3] once again identifying a DR rulemaking as a valuable arena to discuss outstanding issues in the existing regulatory framework for DR.

As is discussed in more detail below, the Joint DR Parties urge the Commission to adopt a new Order Instituting Rulemaking ("OIR") for a new DR proceeding.

Discussion

The Commission should act quickly to open a new DR rulemaking. There has not been an overarching DR rulemaking since the closure of Rulemaking ("R.") 13-09-

---

[2] D.24-10-011, at p. 25.
[3] D.25-06-048, at p. 118.

011. R.13-09-011 was closed on June 27, 2018 pursuant to D.18-06-012. It was re-opened in 2023 only to consider a Petition for Modification which was rejected on March 22, 2023 in D.23-03-020. D.23-03-020 also re-closed R.13-09-011.

On May 2, 2022, Pacific Gas and Electric Company (PG&E), San Diego Gas & Electric Company (SDG&E) and Southern California Electric Company (SCE) filed their 2023-2027 DR portfolio applications which became Application (A.) 22-05-002, et al. These applications were initially closed on April 24, 2024 through D.24-04-006. These Applications have been re-opened to address a Joint Petition for Modification of D.22-12-009.

Ultimately, there have been many changes to DR since these two proceedings were opened and/or closed and now is the time to address accumulating issues facing DR. DR is a resource that is necessary to manage the needs of a 21st century grid, and the large number of DERs installed in California makes the state uniquely well-positioned to leverage this resource. As such, California should be bold in appropriately evaluating and developing effective models for DR that can be adopted across the country, recognizing that California is the leader in clean energy development and often sets the standard for the rest of the nation.

This is especially urgent because CAISO has recently launched a new initiative focused on challenges to demand-side resources' participation in the state's wholesale market, which is expected to run through 2027. Because both CAISO and the Commission play central, complementary roles in overseeing DR, coordination between them is essential to ensure a coherent regulatory framework. Opening a DR proceeding now would allow these two agencies to address changes to the DR regulatory framework in parallel, which would maintain consistency, avoid policy gaps, and streamline implementation of improvements.

A new DR proceeding should evaluate numerous new issues, including but not limited to:

- Allocation of Net Qualifying Capacity (NQC) to DR outside of the Availability Assessment Hours (AAH)
- Device-level measurement to reduce barriers to customer participation in DR programs
- Updating dual participation rules between multiple load-modifying (including dynamic rate pilots) and/or supply-side DR programs, and/or emergency reliability DR programs
- Improved baseline methodologies
- Simplifying Market participation
- Improved Economic DR participation pathways that capture cost-effective C&I capacity and meet targets for Economic DR within state load shift goals
- How DR programs can incorporate two- to three-hour resources to address the super peak period of highest demand
- Investor-owned utility-specific allocations of the statewide Load Shift Goal

- Competitive parity issues
- Implementation of data access improvements identified in the Commission's Data Working Group, which is expected to release its final report in September
- RA accreditation for DER exports
- Final refinements to the CEC's incentive-based supply-side demand response qualifying capacity proposal
- Program designs that value the benefits of diverse DR resources, such as dispatchable load shift
- Updating of the ACC model to reflect additional value streams

The Commission should open a new rulemaking as expeditiously as possible to best position DR to meet current and future needs.

Conclusion

For the reasons explained above, the Joint DR Parties respectfully respect that the Commission adopt a new OIR to address DR programs.

Respectfully submitted,

July 21, 2025

/s/ JOSEPH DESMOND
Joseph Desmond
On Behalf of the California Efficiency + Demand Management Council, CESA, VGIC, Leapfrog Power, Inc., Renew Home, CPower, Sunrun, Voltus, and Nostromo
849 E. Stanley Blvd #264
Livermore, CA 94550
Telephone: (925) 785-2878
Email: jdesmond@cedmc.org

cc: Service Lists in R.13-09-011, A.22-05-002, et al., and P.24-03-013.